

Target Operating Model, Organization & Change

The human system that makes the technology pay

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1. Target Operating Model: Hub, Spokes, and Platform

We recommend a **federated hub-and-spoke model on a shared platform**. A central AI CoE (hub) owns standards, the platform, scarce expertise, and governance execution; business-unit AI pods (spokes) own use cases and value; the platform team turns repeated needs into products. Pure centralization starves the business of ownership; pure decentralization recreates pilot sprawl. The federation contract below keeps the balance honest.

Element	Hub (AI CoE)	Spokes (BU AI pods)	Platform team
Owns	Strategy execution, standards, governance operations, evaluation service, enablement	Use-case selection, domain data, adoption, benefits delivery	AI platform, golden paths, MCP catalog, SRE for AI
Funded by	Central transformation budget	BU P&L; with central co-investment in Horizon 1	Central, with chargeback visibility from Year 2
Accountable for	Time-to-production, control effectiveness	Audited business value	Platform reliability, developer experience, unit cost
Anti-pattern guarded against	Ivory-tower CoE building demos	Shadow platforms and vendor sprawl	Platform as gatekeeper rather than enabler

Funding shifts from project-based to **product-based**: persistent teams funded against outcome metrics with quarterly portfolio rebalancing, replacing annual big-bang business cases for the AI portfolio.

2. AI Center of Excellence Charter and New Roles

CoE charter (sunset-aware)

The CoE is chartered for 24-30 months with an explicit ambition to shrink: as spokes mature, delivery capacity transfers to them and the CoE converges on standards, governance, platform, and frontier scanning. A CoE that grows forever has failed.

New and evolved roles

Role	Mandate	Where
Chief AI / Transformation Officer	Single accountable executive for the program; chairs Portfolio Board; reports to CEO	Executive team
AI Product Manager	Owns an AI product's outcomes, backlog, and benefits case	Spokes (8-15 by Yr 2)
AI Engineer / Agent Engineer	Builds RAG apps, agents, and integrations on the paved road	Platform + spokes
Evaluation & Quality Lead	Owns golden datasets, eval harness standards, human-review calibration	CoE
Knowledge Engineer	Converts expert know-how and content into retrievable, evaluable assets	CoE then spokes
AI Risk & Assurance Specialist	Runs tiering, reviews, incident taxonomy; partner to RAI Board	Risk function

Role	Mandate	Where
Agent Operations (AgentOps)	Monitors production agents: behavior, cost, drift, entitlements	Platform team
Change & Adoption Lead	Owns enablement, communications, and adoption analytics per function	Transformation office

3. Skills Transformation and Workforce Enablement

Population	Target capability	Mechanism
All employees (100%)	Fluent, safe daily use of governed AI tools; prompt craft; judgment about verification	Role-based curriculum; licensed access for all knowledge workers; usage embedded in onboarding
Power users / citizen developers (~10-15%)	Build self-service automations on the paved road within guardrails	Certification path; sandbox; community of practice with real support
Managers (100% of people leaders)	Redesign workflows for human+agent teams; manage performance in augmented work	Workshop series; redesign toolkits; manager KPIs include adoption quality
Technical staff	AI engineering, LLMOps, evaluation, agent security	Deep bootcamps; pairing with CoE; external hiring for anchor roles only
Executives & Board	Risk-informed AI judgment; ability to challenge and sponsor	Quarterly executive sessions; board education twice yearly

4. Change Management Strategy

Workforce principles - stated before rumors state them

- **Transparency:** leadership communicates honestly which roles change, which shrink, and which grow; silence is the most expensive communication strategy.
- **Reinvestment:** a defined share (recommended 20-30%) of Year 1-2 AI savings funds reskilling and internal mobility before external hiring.
- **Augment-first sequencing:** tools land as assistants before any autonomy; affected teams co-design the workflows that change their jobs.
- **No stealth automation:** process changes with headcount implications go through a defined consultation path; trust, once spent, does not refinance.

Adoption engine

- **Champions network:** 1-2% of workforce as trained champions with real time allocation, not a mailing list.
- **Visible wins cadence:** monthly internal showcases of measured results - adoption follows evidence, not mandates.
- **Friction telemetry:** adoption analytics (active use, task completion, satisfaction) reviewed like product metrics; low adoption is treated as a product defect first, a people problem second.

- **Two-way channel:** standing mechanism for employees to flag AI errors, risks, and ideas - the cheapest risk sensor the program has.

5. Leadership Responsibilities and Incentives

Leader	Accountability in the transformation
CEO	Owns the narrative; protects multi-year funding through budget cycles; breaks cross-functional ties
CFO	Owns benefits audit discipline and the investment gate process; sponsors the finance lighthouse
CIO/CTO	Owns platform delivery and paved-road quality; retires shadow platforms
CHRO	Owns skills transformation, workforce principles, and role redesign
CRO/GC/CISO	Own two-speed governance that is fast for Tier 3 and rigorous for Tier 1
BU Presidents	Own use-case value; AI-attributed outcomes enter their scorecards from Year 1

Incentive rule of thumb: if AI outcomes appear in no one's compensation, the transformation is a hobby. Tie a meaningful share of executive variable pay to audited adoption and value metrics from Year 1.